
Quantitative Analyses for Tourism and Hospitality

MHM (T.U.)

A Course Companion Covering Data,
Sampling, Instrument Design, Statistical Testing,
and Information Presentation

Prepared by
Bijay Lal Pradhan, PhD
Tribhuvan University

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Research Methods and Statistics for Hospitality Management

Teaching Module / Lecture Notes

1. Meaning, Nature and Significance of Data

Meaning: Data are raw, unprocessed facts, figures, or observations collected about a phenomenon — e.g., guest satisfaction ratings, room occupancy figures, average daily rate (ADR), F&B covers served, or staff turnover numbers. Data become **information** once organized, and **knowledge** once interpreted for decision-making.

Nature of Data - Data are factual and objective (as collected), but their interpretation can be subjective. - Data can be quantitative (numbers) or qualitative (descriptions, opinions). - Data are dynamic — hospitality data (occupancy, reviews, spend) change constantly with time and season. - Data have no inherent meaning until analyzed in context.

Significance in Hospitality Management - Supports evidence-based decisions (pricing, staffing, menu design). - Enables performance monitoring (RevPAR, guest satisfaction index, labour cost %). - Helps forecast demand (seasonality, events, booking trends). - Improves service quality through guest feedback analysis. - Supports strategic planning, marketing segmentation, and investment decisions. - Essential for accreditation, quality audits, and academic research in tourism/hospitality.

2. Classification of Data

Basis of Classification	Types	Hospitality Example
By source	Primary vs Secondary	Guest survey (primary); industry report (secondary)
By nature	Quantitative vs Qualitative	Occupancy % (quantitative); guest comments (qualitative)
By time reference	Cross-sectional vs Time-series	Snapshot of Aug 2026 bookings vs 5-year occupancy trend
By degree of aggregation	Micro vs Macro	Single hotel's revenue vs national tourism revenue
By structure	Structured vs Unstructured	Booking database (structured); social media reviews (unstructured)

3. Measurement and Scales of Data

Measurement is the process of assigning numbers/labels to variables according to defined rules. Four classic scales (Stevens' typology):

1. **Nominal scale** — categories with no order. E.g., type of hotel (budget/luxury/boutique), gender of guest, department (F&B, Front Office, Housekeeping).
2. **Ordinal scale** — ordered categories, unequal intervals. E.g., star rating (1–5 star), satisfaction level (very poor to excellent).
3. **Interval scale** — ordered, equal intervals, no true zero. E.g., temperature in °C, Likert scale scores (often treated as interval).
4. **Ratio scale** — ordered, equal intervals, true zero exists. E.g., room revenue, number of covers, length of stay, occupancy %.

Why it matters: The scale of measurement determines which statistical technique is valid (e.g., mean is meaningless for nominal data; mode is more appropriate).

4. Classification of Sources of Data

Primary sources (collected firsthand for the specific study): - Guest questionnaires/surveys - Personal interviews with managers or staff - Direct observation (service quality audits, mystery shopping) - Focus group discussions - Experiments (e.g., testing new menu pricing)

Secondary sources (already collected by others): - Government tourism board statistics - Industry reports (STR, WTTC, UNWTO) - Company records (PMS data, POS data, HR records) - Published research, journals, theses - Online travel agency (OTA) review data, trade publications

Internal vs External sources: internal = hotel's own records (occupancy, payroll); external = market reports, competitor benchmarking, census data.

5. Statistics — Meaning, Scope and Functions

Statistics is the science of collecting, organizing, analyzing, interpreting, and presenting data to support decision-making under uncertainty.

Two branches: - **Descriptive statistics** — summarizing data (mean occupancy, average spend per guest, frequency of complaints). - **Inferential statistics** — drawing conclusions about a population from a sample (e.g., predicting national tourist satisfaction from a sample survey).

Functions in hospitality: demand forecasting, quality control, market segmentation, performance benchmarking, hypothesis testing on guest behaviour, budgeting and financial control.

6. Concept of Population of Study

The **population** is the entire set of individuals, units, or elements the researcher wants to draw conclusions about.

Examples: all guests who stayed at a hotel chain in 2025; all restaurants in a city; all employees of a hotel group.

Key related terms: - **Target population** — the group the researcher wants to generalize to. - **Accessible/study population** — the portion actually reachable for study. - **Census** — studying the entire population (feasible only when population is small, e.g., all 40 department heads of a resort).

7. Sampling and Sampling Strategies

Sampling is the process of selecting a representative subset (sample) from a population to make inferences without studying every unit.

Why sample?

Cost and time efficiency, practicality when population is large or infinite, and ability to gain sufficiently accurate results.

Sampling Strategies

A. Probability Sampling (every unit has a known chance of selection) - **Simple random sampling** — random selection from full guest list. - **Systematic sampling** — every nth guest checking out is surveyed. - **Stratified sampling** — divide guests into strata (e.g., business vs leisure) then sample from each. - **Cluster sampling** — randomly select entire outlets/branches, survey all guests within.

B. Non-Probability Sampling (selection not random; used when sampling frame unavailable) - **Convenience sampling** — surveying guests readily available in the lobby. - **Judgmental/purposive sampling** — selecting expert F&B managers for an opinion study. - **Quota sampling** — fixed number of respondents per category (e.g., 50 domestic, 50 international guests). - **Snowball sampling** — used for hard-to-reach groups (e.g., informal tour guides).

Sample Size Considerations

Depends on population size, desired confidence level, margin of error, and variability of the characteristic being measured.

8. Units of Analysis

The **unit of analysis** is the “what” or “who” being studied — the level at which data are collected and analyzed.

Examples in hospitality research: - **Individual level** — a single guest, employee, or manager. - **Group level** — a department, a tour group, a family unit. - **Organizational level** — a hotel property, a restaurant, a travel agency. - **Event level** — a single transaction, a single service encounter, a single booking.

Choosing the correct unit of analysis is essential to avoid the **ecological fallacy** (drawing conclusions about individuals from group-level data, or vice versa).

9. Concepts of Variables and Hypotheses

Variables

A **variable** is any characteristic that can take different values. - **Independent variable (IV)**: presumed cause (e.g., service quality). - **Dependent variable (DV)**: presumed effect (e.g., guest satisfaction). - **Moderating variable**: alters strength/direction of IV–DV relationship (e.g., guest nationality). - **Mediating variable**: explains the mechanism between IV and DV (e.g., trust between service quality and loyalty). - **Extraneous/confounding variable**: uncontrolled variable that may distort results.

By type: discrete (number of complaints) vs continuous (length of stay in hours).

Hypotheses

A **hypothesis** is a testable, tentative statement about the relationship between two or more variables. - **Null hypothesis (H0)**: no relationship/effect exists (e.g., “There is no significant relationship between service quality and guest loyalty”). - **Alternative hypothesis (H1)**: a relationship/effect exists. - Hypotheses can be **directional** (one-tailed) or **non-directional** (two-tailed).

10. Instrument Design

The **research instrument** is the tool used to collect data — most commonly a questionnaire, interview schedule, or observation checklist.

Steps in designing an instrument: 1. Define the research objectives and variables to be measured. 2. Choose the instrument type (questionnaire, interview guide, checklist). 3. Draft items/questions aligned to each variable. 4. Choose response formats (Likert scale, multiple choice, open-ended, ranking). 5. Sequence questions logically (screening → demographic → core → closing). 6. Pilot test the instrument on a small sample. 7. Revise based on pilot feedback.

Common scale used: 5-point or 7-point Likert scale (e.g., “1 = Strongly Dissatisfied” to “5 = Strongly Satisfied”) for measuring guest attitudes and perceptions.

11. Test of Validity and Reliability

Validity

Validity asks: Does the instrument measure what it claims to measure? - **Content validity** — items adequately cover the concept (expert judgment). - **Construct validity** — instrument truly measures the theoretical construct (tested via factor analysis). - **Criterion validity** — correlates with an external, established measure. - **Face validity** — appears, on the surface, to measure what it intends to.

Reliability

Reliability asks: Does the instrument produce consistent results? - **Test–retest reliability** — same results when administered twice over time. - **Internal consistency** — items within a scale correlate with each

other; measured using **Cronbach's Alpha** ($\alpha \geq 0.70$ generally acceptable). - **Inter-rater reliability** — consistency between different observers/raters (important in mystery shopping/service audits).

12. Methods of Data Collection

Method	Description	Hospitality Example
Survey/Questionnaire	Structured set of questions	Guest satisfaction survey at checkout
Interview	Face-to-face/telephonic/online discussion	Interviewing a GM on operational challenges
Observation	Watching behaviour without direct interaction	Observing service timing at a restaurant
Focus Group Discussion	Guided group discussion	Discussing new menu concepts with regular guests
Experiment	Manipulating a variable to observe effect	Testing two pricing strategies on similar room types
Documentary/Records analysis	Using existing records	Analyzing 3 years of occupancy/PMS data

13. Data Coding, Processing and Analysis

Coding: Assigning numerical or symbolic values to responses for analysis (e.g., Male = 1, Female = 2; Very Dissatisfied = 1 ... Very Satisfied = 5).

Data Processing Steps: 1. **Editing** — checking for completeness, accuracy, consistency. 2. **Coding** — converting responses into numeric/categorical codes. 3. **Classification** — grouping data into categories. 4. **Tabulation** — arranging data into rows/columns (frequency tables, cross-tabs). 5. **Data cleaning** — handling missing values, outliers, duplicate entries.

Data Analysis: - Descriptive analysis (mean, median, mode, standard deviation, frequency distribution). - Inferential analysis (t-test, ANOVA, chi-square, correlation, regression). - Qualitative analysis (thematic analysis, content analysis of guest comments/reviews).

14. Software and Packages for Data Treatment and Analysis

Software	Primary Use	Notes
Microsoft Excel	Basic descriptive stats, pivot tables, charts	Widely used for hotel operational data
SPSS (Statistical Package for Social Sciences)	Descriptive & inferential statistics, survey analysis	Most common in hospitality/tourism research
R / RStudio	Advanced statistics, data visualization, open-source	Preferred for complex/academic research
Python (pandas, NumPy, SciPy, statsmodels)	Data cleaning, statistical modelling, automation	Growing use in revenue management analytics
AMOS / SmartPLS	Structural Equation Modelling (SEM)	Used for testing complex hypothesis models (e.g., service quality → loyalty)

Software	Primary Use	Notes
NVivo / ATLAS.ti	Qualitative data analysis	Coding interview transcripts, guest reviews
Tableau / Power BI	Data visualization and dashboards	Used in revenue management, occupancy dashboards
Property Management Systems (Opera, Protel) / POS analytics	Operational data capture	Source systems feeding into analysis software

15. Matrix: Data Type, Statistical Measures and Applicable Tests

Scale of Data	Suitable Descriptive Measures	Suitable Statistical Tests	Hospitality Example
Nominal	Frequency, mode, percentage	Chi-square test, binomial test	Preference for hotel brand (Yes/No)
Ordinal	Median, mode, percentile, rank	Mann-Whitney U, Kruskal-Wallis, Spearman's rank correlation	Star rating preference across age groups
Interval	Mean, standard deviation	t-test, ANOVA, Pearson correlation (with caution)	Likert-scale satisfaction scores
Ratio	Mean, standard deviation, coefficient of variation	t-test, ANOVA, Pearson correlation, regression	Room revenue, length of stay, spend per guest

Choosing the test — quick guide: - Comparing 2 group means (ratio/interval data) → Independent samples t-test - Comparing 3+ group means → ANOVA - Testing association between 2 categorical variables → Chi-square test - Testing relationship between 2 continuous variables → Pearson correlation / Regression - Non-normal or ordinal data comparisons → Mann-Whitney U / Kruskal-Wallis - Testing a multi-variable causal model → Regression / SEM

16. Use of Charts and Figures for Information Presentation

Chart Type	Best Used For	Hospitality Example
Bar chart	Comparing categories	Occupancy by hotel property
Pie chart	Showing proportion of a whole	Market segment share (leisure vs corporate)
Line graph	Trends over time	Monthly RevPAR over a year
Histogram	Frequency distribution of continuous data	Distribution of guest ages
Scatter plot	Relationship between two variables	Service quality score vs guest spend
Box plot	Spread/outliers in data	Length-of-stay variation by season
Radar/spider chart	Multi-dimensional comparison	Comparing hotel performance across 6 service dimensions

Chart Type	Best Used For	Hospitality Example
Dashboard (combined visuals)	Real-time operational overview	Revenue management dashboards

Presentation principle: Choose the chart based on the data's purpose (comparison, trend, relationship, distribution, composition) — not on aesthetic preference alone.

17. Information Triangulation

Triangulation is the use of multiple data sources, methods, theories, or investigators to cross-verify findings and strengthen research validity.

Types: - **Data triangulation** — using multiple data sources (guest survey + online reviews + staff interviews). - **Methodological triangulation** — combining quantitative and qualitative methods (mixed-methods research). - **Investigator triangulation** — using multiple researchers/observers to reduce bias. - **Theoretical triangulation** — applying multiple theoretical perspectives to interpret findings.

Value in hospitality research: reduces bias, increases credibility of findings (e.g., validating a satisfaction survey's findings against actual repeat-booking data and online review sentiment).

18. Careers in Statistical Processing and Analysis (Hospitality/Tourism Focus)

- **Revenue Manager / Yield Analyst** — pricing, demand forecasting using statistical models.
- **Market Research Analyst** — guest behaviour and satisfaction studies.
- **Business Intelligence (BI) Analyst** — dashboard building, KPI tracking (Power BI/Tableau).
- **Data Analyst / Data Scientist (Hospitality Tech)** — predictive analytics for OTAs, hotel chains.
- **Quality Assurance / Guest Experience Analyst** — analyzing review data, service audits.
- **Tourism Statistician** — working with government tourism boards (national tourism offices).
- **Academic Researcher / Consultant** — hospitality and tourism research institutions.
- **CRM/Loyalty Analyst** — analyzing guest loyalty program data.
- **Operations Research Analyst** — optimizing staffing, inventory, and capacity using statistical modelling.